**UNITED STATES BANKRUPTCY COURT**
**SOUTHERN DISTRICT OF ALABAMA**

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| Jane Example<br>*and* John Example<br>Debtors. | Case No. 00-00000<br><br>Chapter 7 |
| Samuel Sample, as Chapter 7 Trustee<br>Plaintiff,<br><br>v.<br><br>Acme Example Holdings, LLC<br>Defendant. | Adv. Pro. No. 00-0000 |

## COMPLAINT TO DETERMINE DISCHARGEABILITY OF DEBT

This is a generic, fictional sample. The names, numbers and facts are invented to exercise the template; they describe no real case. It is not a transcription of a filed document.

### NATURE OF THE ACTION

1. Plaintiff brings this adversary proceeding under 11 U.S.C. § 523(a)(2)(A) and Federal Rule of Bankruptcy Procedure 7001(6) to determine that a debt owed by the Debtors to Defendant is excepted from discharge.

2. The Debtors filed a voluntary petition under chapter 7 of the Bankruptcy Code on the petition date stated in the case file. Plaintiff is the chapter 7 trustee of the estate.

3. Defendant held a claim against the Debtors arising from a consumer loan made in the spring before the petition was filed. The claim is scheduled in the Debtors' schedules as disputed.

## JURISDICTION AND VENUE

4. This Court has jurisdiction over this proceeding under 28 U.S.C. §§ 1334(b) and 157(a), and under the reference order of the United States District Court for the Southern District of Alabama.

5. This is a core proceeding under 28 U.S.C. § 157(b)(2)(I), which concerns the determination of the dischargeability of particular debts.

6. Venue is proper in this district under 28 U.S.C. §§ 1408 and 1409 because the main bankruptcy case is pending here.

7. Plaintiff consents to the entry of final orders and judgment by this Court.

## PARTIES

8. Plaintiff Samuel Sample is the duly appointed and acting chapter 7 trustee of the bankruptcy estate of the Debtors.

9. Debtor Jane Example and Debtor John Example are individuals residing in Mobile County, Alabama. They are the Debtors in the main case and the defendants to the claims of the trustee.

10. Defendant Acme Example Holdings, LLC is a limited liability company that does business in Alabama and that holds the claim at issue. It has appeared in the main case as a creditor.

## FACTS

### The Loan

11. In the spring before the petition date, Defendant offered the Debtors a revolving credit line secured by no collateral. The Debtors accepted the offer and drew on the line over approximately four months.

12. The loan documents required the Debtors to disclose their current employment and income in a written application. The application stated that the Debtors were employed full time at the same employer for more than five years.

13. The statement in paragraph 12 was not true. Jane Example had ended that employment eleven months before the application was signed. The Debtors did not disclose the change.

14. Defendant's underwriting file contains a credit report that reflected the change in employment. The file does not show that Defendant verified the stated employment before extending the line.

**The Bankruptcy**

15. Eight months after the last draw, the Debtors filed their petition under chapter 7. In their schedules, the Debtors listed the Defendant's claim in the amount of the outstanding balance.

16. The trustee conducted the section 341 meeting of creditors on the date set in the notice. The Debtors testified that they had provided accurate information to all lenders.

17. The Court entered an order setting the deadline for filing complaints objecting to discharge or to the dischargeability of particular debts. Plaintiff files this complaint within that deadline.

## CLAIM FOR RELIEF

**Count I: Nondischargeability under 11 U.S.C. § 523(a)(2)(A)**

18. Plaintiff incorporates paragraphs 1 through 17 as if fully set forth in this count.

19. Defendant's claim arose from an extension of credit obtained by a materially false written statement respecting the Debtors' financial condition, namely the statement of current employment in paragraph 12.

20. The statement was made in writing and was material to the decision to extend credit. Its falsity was known to the Debtors when it was made, because the Debtor who signed the application knew that the employment had ended.

21. The Debtors made the statement with intent to deceive Defendant into extending the credit, as shown by the timing of the application and by the Debtors' failure to correct it.

22. Defendant relied on the statement. A lender in Defendant's position would have declined or limited the line had the true employment history been disclosed. Defendant's reliance was reasonable in light of the facts known to it at the time, as the statement was not contradicted by any document in the file that Defendant reviewed.

23. Defendant's claim is therefore excepted from discharge under 11 U.S.C. § 523(a)(2)(A) in the amount of the outstanding balance, together with interest and costs as allowed by law.

**Count II: Denial of Discharge under 11 U.S.C. § 727(a)(4)(A)**

24. Plaintiff incorporates paragraphs 1 through 23 as if fully set forth in this count.

25. In connection with the case, the Debtors knowingly and fraudulently made a false oath or account, namely the schedules and the testimony at the section 341 meeting that all lenders had received accurate information.

26. The false oath related to a material matter, and it concerned the Debtors' financial affairs and the existence of the claim, which bears on the administration of the estate.

27. Plaintiff requests that the Court deny the Debtors a discharge under 11 U.S.C. § 727(a)(4)(A).

## RESERVATION OF RIGHTS

28. Plaintiff reserves the right to amend this complaint, upon discovery of additional facts, including facts about transfers of property within the period set by 11 U.S.C. § 548 and § 544.

## PRAYER FOR RELIEF

Plaintiff respectfully requests that the Court enter judgment:

(a) determining that the debt owed by the Debtors to Defendant is excepted from discharge under 11 U.S.C. § 523(a)(2)(A) in the amount proved at trial;

(b) denying the Debtors a discharge under 11 U.S.C. § 727(a)(4)(A);

(c) awarding Plaintiff the costs of suit, and such fees as may be allowed by law; and

(d) granting such other and further relief as the Court deems just and proper.

Under Local Bankruptcy Rule 7026-1, Plaintiff does not stipulate that Fed. R. Civ. P. 26(a)(1) will not apply to this adversary proceeding.

Dated: October 14, 2026

Respectfully submitted,

/s/ Sample Counsel
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